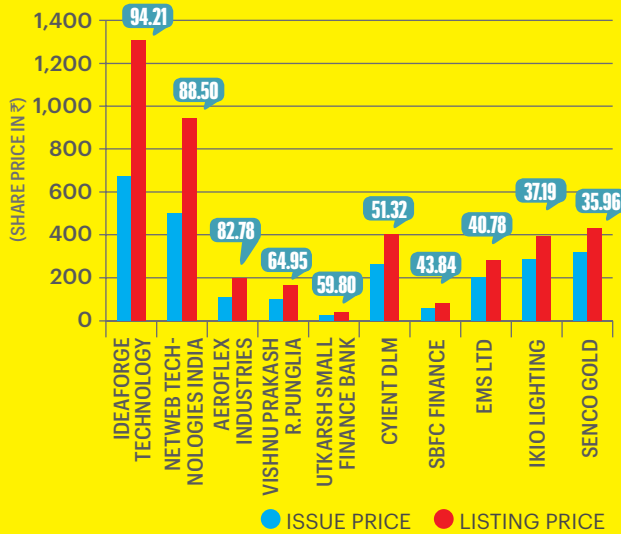


THE GOOD AND THE BAD

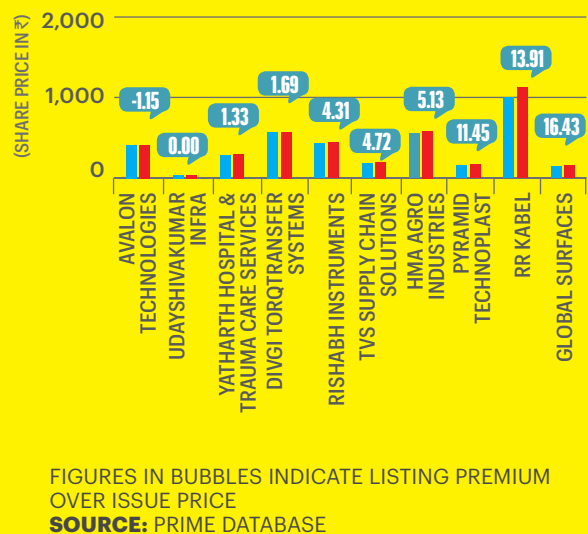
➔ **IDEAFORGE HAS PERFORMED THE BEST ON DEBUT THIS YEAR, ZOOMING 94 PER CENT ON LISTING**

The top performers...



➔ **AVALON TECH HAS BEEN THE WORST PERFORMER. ITS SHARES DIPPED 1 PER CENT ON DEBUT**

...and the laggards



850 such entities listed on the bourses that have raised over ₹11,000 crore cumulatively.

Though market participants are united in saying the BSE and NSE platforms have been a big boon for the vast SME segment, there is a view that the segment has become a magnet for entities looking to create artificial demand and push up stock prices.

Just recently—September 25, to be precise—the two exchanges announced additional surveillance

measures in the SME segment to bring stocks into the trade-to-trade settlement mechanism. Simply put, this mechanism is seen as a way of curbing speculative trading as non-delivery trades—trades done without the intent of taking delivery of the stocks; also known as intra-day trades—are barred. Plus, it also entails higher margin requirements.

“As per Joint Surveillance Meeting of Exchanges and Sebi, the existing Trade for Trade (TFT) Framework shall be extended to Small and Medium Enterprises (SME) stocks subject to certain changes... It may also be noted that the shortlisting of securities under TFT is purely on account of market surveillance, and it should not be construed as an adverse action against the concerned company/entity,” stated circulars issued by the two exchanges.

Incidentally, the segment has seen many instances of issues getting subscribed hundreds of times and stock prices registering a sudden and swift rise—often in the absence of supporting growth in the fundamentals of the company.

“This is a time for the stakeholders to step back and [take] a serious deep-dive review. We need to imbibe robust market practices led by high governance standards.

INDIA HAS CONTINUED TO INCREASE ITS SHARE IN THE GLOBAL IPO NUMBER, FROM 6% IN 2021 TO 11% IN 2022, AND FURTHER INCREASING TO 13% YTD IN 2023

SOURCE: EY GLOBAL IPO TRENDS Q2 2023 REPORT